kotak Institutional Equities

Zee Entertainment Enterprises (Z)

Media

REDUCE

CMP(₹): **88** | Fair Value(₹): **84** | Sector View: **Neutral** | NIFTY-50: **23,618** | **May 19, 2026**

No respite

Zee reported 3.5% yoy decline in ad revenues, partly impacted by the Middle East crisis. Adjusted EBITDA (excluding the impact of change in movie amortization policy) declined 51% yoy, due to adverse operating leverage and higher A&P/legal expenses. FMCG ad spends are likely to remain under pressure due to high RM inflation. We cut estimates by 16-19% and revise FV to Rs84 (~11X June 2028E PE). We would wait for a recovery in linear ad spends, stability in core profitability and sustained improvement in Zee5.

4QFY26—TV ad revenues continue to decline, even as digital growth robust

Zee's ad revenues declined ~3.5% yoy to Rs8.1 bn (~3% miss) due to weak consumer sentiment in March amid Middle East crisis. Subscription revenue grew by 3.9% yoy, aided by subscriber additions on the digital platform and higher ARPU across distribution partners. Other sales declined 47% yoy, due to a high base (movies). Zee5 revenues grew by 71% yoy, with EBITDA loss at Rs84 mn (adjusted EBITDA before amortization policy change was positive). Content costs grew 17.4% yoy due to change in movie amortization accounting policy (50% in Y1/2 and balance over Y3-Y5 versus SLM over 5Y earlier) and higher growth investments (KidZ, Bullet, Live). Adjusted EBITDA declined by 51% yoy to Rs1.4 bn (~35% miss). Core EBITDA loss stood at Rs2.6 bn (versus +Rs3.6 bn in 4QFY25). PBT/recurring PAT loss stood at Rs2.4 bn/Rs1.2 bn.

FY2026 round-up. Revenues/adjusted EBITDA declined 2.4%/37% yoy, as adjusted EBITDA margin contracted 510 bps yoy to 9.3%. Zee5's revenues grew 53% to Rs14.9 bn, while EBITDA loss stood at Rs490 mn. Cash and treasury investments rose Rs5.7 bn qoq to Rs27.6 bn. Inventory declined Rs1.4 bn qoq to Rs65 bn, while receivables were down Rs1.7 bn qoq to Rs17.2 bn.

Significant deterioration in linear business, even as Z5 topline improves further

Management noted that its initiatives had started to show some positive impact on ad revenues in first half of 4Q, but Middle East war impacted March sales (ad sales could have grown by LSD, implying impact of about Rs500 mn due to the war). Adjusted EBITDA margin stood at around 7.9% (excluding impact of change in movie amortization policy); margin excluding some other one-offs (such as ME war impact, legal expenses, etc.) was close to 3Q levels (10.5%). FMCG ad spends are likely to remain under pressure in the near term due to high RM inflation. Zee5 continues to progress well on user/engagement metrics and across revenue streams (ad/subscription/syndication). The company refrained from giving a guidance on either growth or margins of FY2027E.

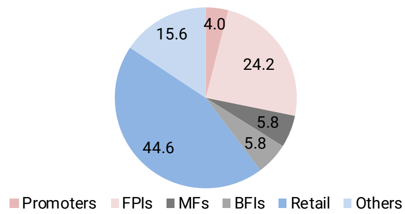
We cut EPS by 16-19%, roll over and revise FV to Rs84 (Rs90 earlier)

Given persistent pressures in the linear ad environment further worsened by the Middle East crisis, we cut Zee's ad revenue forecasts by 1-2%. Adverse operating leverage and higher operating expenses (particularly A&P) drives EBITDA cuts of 15-18% (10.8%/11.7% in FY2027/28E versus 9.3% adjusted EBITDA margin in FY2026). We roll over and revise FV to Rs84, on the basis of 11X June 2028E PE. Maintain REDUCE.

Company data and valuation summary

Stock data	
CMP(Rs)/FV(Rs)/Rating	88/84/REDUCE
52-week range (Rs) (high-low)	152-68
Mcap (bn) (Rs/US$)	84/0.9
ADTV-3M (mn) (Rs/US$)	1,312/13.6

Shareholding pattern (%)



Price performance (%)	1M	3M	12M
Absolute	8	(5)	(32)
Rel. to Nifty	11	2	(26)
Rel. to MSCI India	10	(1)	(29)

Forecasts/Valuations	2026	2027E	2028E
EPS (Rs)	2.4	6.1	7.2
EPS growth (%)	(70.4)	156.5	18.2
P/E (X)	37.0	14.4	12.2
P/B (X)	0.7	0.7	0.7
EV/EBITDA (X)	20.0	7.5	6.3
RoE (%)	2.0	4.9	5.6
Div. yield (%)	2.3	2.3	2.6
Sales (Rs bn)	81	84	88
EBITDA (Rs bn)	3.5	9.1	10
Net profits (Rs bn)	2.3	5.9	6.9

Source: Bloomberg, Company data, Kotak Institutional Equities estimates

Prices in this report are based on the market close of May 19, 2026

Related Research

→Zee Entertainment Enterprises: Mixed bag
→Zee Entertainment Enterprises: Elevated A&P
→Zee Entertainment Enterprises: Core business

Full sector coverage on KINSITE

Refer to the disclosures at the end of the report.

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Key takeaways from conference call

- **Ad revenues** declined 3.5% yoy in 4Q, as uncertain geopolitical environment (ongoing Middle East crisis) and macro headwinds disrupted consumer sentiments during the quarter. While the company witnessed healthy traction in January and February, March was severely impacted due to Middle East crisis. Adjusted for March, ad revenues would have registered low-single-digit growth in 4Q despite an earlier ILT20. Management noted that the company is strengthening its positioning to unlock emerging revenue streams through improved content offerings, an omni-channel strategy and diversification beyond FMCG advertisers. While the ad environment remains challenging in the immediate term as advertisers remain cautious amid Middle East crisis, investments in strategic and digital initiatives position the company well over the medium term. International ad revenues declined by 14% yoy to Rs506 mn for the quarter.

- **Subscription** revenue grew by 3.9% yoy, aided by subscriber additions on the digital platform and higher ARPU across distribution partners.

  - **Linear TV**. Zee remained the #2 TV entertainment network, with network viewership share rising 80 bps yoy to 17.4% during 4Q, though it was down 10 bps qoq, partly impacted by the T20 World Cup, Bengal elections and other factors. The company exited March with over 18% viewership share. Flagship channel Hindi GEC delivered robust GRP growth of 40% yoy, driven by strong storytelling with culturally rooted narratives, securing peak prime-time slots. Zee claimed to have Hindi GEC leadership in prime time. Management reiterated that there is typically a 13-16 weeks lag between viewership share gains and revenue monetization. Language channels maintained their foothold in respective markets, with monetization focus on Zee Kannada, Zee Bangla, Zee Sarthak, Zee Punjabi, Zee Telugu and Hindi movies/cinema.

  - **Zee5** revenues grew 71% yoy in 4Q and 53% yoy in FY2026, driven by the success of its seven-language content packs, a seamless user experience and a revised pricing structure. The platform achieved operational profitability for the second consecutive quarter, with a balanced cost structure leading to positive margins. Adjusted EBITDA remained positive in 4Q, excluding the impact of changes in estimates of movie rights inventory amortization pattern. Zee5 released 45 shows and movies during the quarter, including 11 originals. Ad revenues from Zee5 continued to grow qoq, with MAU metrics improving and momentum sustaining on both ad and subscription fronts. Management indicated that investment levels on Zee5 are optimal; any incremental investments would not materially impact the EBITDA line. The company expects to sustain positive unit economics, driven by growth and operating leverage.

- **Other sales (including syndication**) revenue declined 47% yoy. Zee Studios released 7 Hindi movie and 7 regional movies in 4Q, where only 9 movies were produced by Zee.

  - **Zee music's** subscriber count stood at 217 mn in FY2026. The company has a library of 20,000+ songs and remains profitable, though it is still a small player relative to competition.

- **Margin outlook.** EBITDA margins contracted in 4Q, due to higher A&P spends, growth investments and higher legal costs. A&P spends were higher yoy due to increased content offerings on Zee5 and marketing expenditure for newly launched businesses. Management emphasized that marketing cannot be curtailed in a consumer-facing entertainment business and the focus is on improving marketing efficiency rather than cutting back. Excluding these one-off, margins would have been flat sequentially. The company adopted an accelerated amortization pattern for movie rights inventory, where amortization is now front-loaded to 50% in the first two years and the remainder over the next three years. Employee costs declined ~9% yoy for the full year, driven by manpower optimization and rationalization measures undertaken in prior quarters.

- **Others**. The company made strategic investments of Rs200 mn in Culture of Real Experiences (CORE) Private Limited to drive the live entertainment business and Rs1.2 bn in Phantom FX Limited (listed company) to enhance VFX and content creation capabilities. Management believes these investments are complementary to the evolving entertainment landscape, with VFX expected to increasingly feature in TV content, making in-house capabilities more beneficial and cost-effective. The live entertainment business addresses a Rs500 bn market. Bullet, the microdrama app, has garnered good traction in a Rs35 bn market.

Zee's core business revenue was down ~19% yoy in 4Q

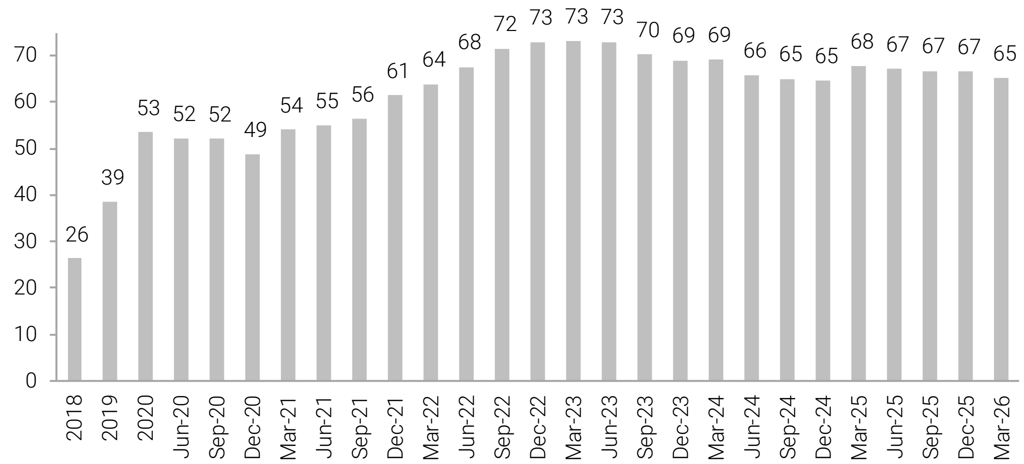
Exhibit 1: Interim results of Zee Entertainment, March fiscal year-ends, 2025-27E (Rs mn)

					Change (%)							
	4QFY26	4QFY26E	4QFY25	3QFY26	4QFY26E	yoy	qoq	FY2026	FY2025	% yoy	FY2027E	% yoy
Total revenues	**20,248**	**20,208**	**21,841**	**22,801**	**0.2**	**(7.3)**	**(11.2)**	**80,989**	**82,941**	**(2.4)**	**83,727**	**3.4**
Advertising revenues	8,080	8,336	8,375	8,515	(3.1)	(3.5)	(5.1)	32,243	35,911	(10.2)	32,243	—
Subscription revenues	10,247	10,330	9,865	10,502	(0.8)	3.9	(2.4)	40,796	39,261	3.9	43,395	6.4
--Domestic subscription	9,248	9,297	8,855	9,632	(0.5)	4.4	(4.0)	37,122	35,317	5.1	39,721	7.0
--International subscription	999	1,032	1,010	870	(3.2)	(1.1)	14.8	3,674	3,944	(6.8)	3,674	—
Other sales (incl. syndication)	1,921	1,542	3,601	3,784	24.6	(46.7)	(49.2)	7,950	7,769	2.3	8,090	1.8
Total expenditure	**(22,934)**	**(18,070)**	**(18,989)**	**(20,396)**	**26.9**	**20.8**	**12.4**	**(77,526)**	**(70,979)**	**9.2**	**(74,656)**	**(3.7)**
Content and other direct costs	(15,048)	(11,334)	(12,819)	(13,056)	32.8	17.4	15.3	(48,594)	(45,172)	7.6	(46,701)	(3.9)
Employee costs	(1,920)	(2,206)	(2,300)	(2,161)	(13.0)	(16.5)	(11.2)	(8,424)	(9,266)	(9.1)	(8,592)	2.0
Advt. and publicity costs	(4,324)	(3,000)	(3,000)	(3,484)	44.1	44.1	24.1	(14,251)	(11,466)	24.3	(12,826)	(10.0)
Other expenses	(1,642)	(1,529)	(870)	(1,695)	7.4	88.7	(3.1)	(6,257)	(5,075)	23.3	(6,537)	4.5
EBITDA	**(2,686)**	**2,139**	**2,852**	**2,405**	**NA**	**NA**	**NA**	**3,463**	**11,962**	**(71.0)**	**9,071**	**161.9**
EBITDA margin (%)	**(13.3)**	**10.6**	**13.1**	**10.5**	**-2380 bps**	**-2630 bps**	**-2380 bps**	**4.3**	**14.4**	**-1010 bps**	**10.8**	**660 bps**
Adj. EBITDA	**1,398**	**2,139**	**2,852**	**2,405**	**(34.6)**	**(51.0)**	**(41.9)**	**7,547**	**11,962**	**(36.9)**	**9,071**	**20.2**
Adj. EBITDA margin (%)	**6.9**	**10.6**	**13.1**	**10.5**	**-370 bps**	**-620 bps**	**-360 bps**	**9.3**	**14.4**	**-510 bps**	**10.8**	**150 bps**
Other income	763	225	362	184	239.7	110.8	314.7	1,461	1,234	18.4	1,328	(9.1)
Fair value through P&L (RPS)	138	151	125	151				524	159	229.6	—	
Finance costs	(149)	(128)	(81)	(92)	16	84.0	62.0	(448)	(327)	37.0	(448)	—
D&A expenses	(473)	(555)	(639)	(537)	(14.7)	(26.0)	(11.9)	(2,172)	(2,785)	(22.0)	(2,125)	(2.2)
Pretax profits	**(2,407)**	**1,832**	**2,619**	**2,111**	**NA**	**NA**	**NA**	**2,828**	**10,243**	**(72.4)**	**7,826**	**176.7**
Extraordinaries	—	—	(1)	(94)				(94)	(1,065)	(91.2)	-	
Tax provision	1,370	(377)	(734)	(469)				(23)	(2,387)	(99.0)	(1,972)	NA
Minority interest	—	—	—	—				2	4		2	
Reported PAT	**(1,037)**	**1,454**	**1,884**	**1,548**	**NA**	**NA**	**NA**	**2,713**	**6,795**	**(60.1)**	**5,856**	**115.8**
Reported EPS (Rs)	**(1.1)**	**1.5**	**2.0**	**1.6**	**NA**	**NA**	**NA**	**2.8**	**7.1**	**(60.1)**	**6.1**	**115.8**
PAT (pre-exceptional)	**(1,175)**	**1,303**	**1,760**	**1,491**	**NA**	**NA**	**NA**	**2,283**	**7,701**	**(70.4)**	**5,856**	**156.5**
EPS (pre-exceptional) (Rs)	**(1.2)**	**1.4**	**1.8**	**1.6**	**NA**	**NA**	**NA**	**2.4**	**8.0**	**(70.4)**	**6.1**	**156.5**
Tax rate (%)	*56.9*	*20.6*	*28.0*	*22.2*				*0.8*	*23.3*		*25.2*	
Core business (ex-Zee5)												
Revenue	15,548		19,094	18,621		(18.6)	(16.5)	66,101	73,181	(9.7)	65,862	(0.4)
EBITDA	(2,602)		3,605	1,841		NA	NA	3,953	17,442	(77.3)	8,271	109.2
EBITDA margin (%)	**(16.7)**		**18.9**	**9.9**		**-3560 bps**	**-2660 bps**	**6.0**	**23.8**	**-1790 bps**	**12.6**	**660 bps**

Source: Company, Kotak Institutional Equities

Inventory was down qoq to Rs65 bn as of Mar'26

Exhibit 2: Trends in inventory of Zee Entertainment, March fiscal year-ends, 2018-26 (Rs bn)



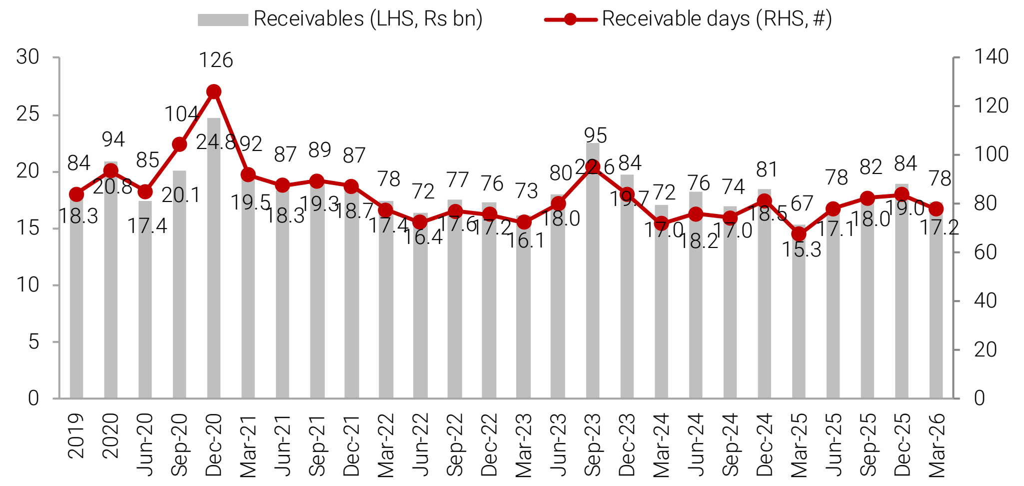
Notes:

(a) Reduction in inventory in Dec-20 quarter was entirely due to one-time content syndication sale of Rs4.7 bn adjusted for the same, inventory was up Rs5.2 bn in FY2021.

Source: Company, Kotak Institutional Equities

Receivable declined 1.7 bn qoq to Rs17.2 bn as of Mar 2026

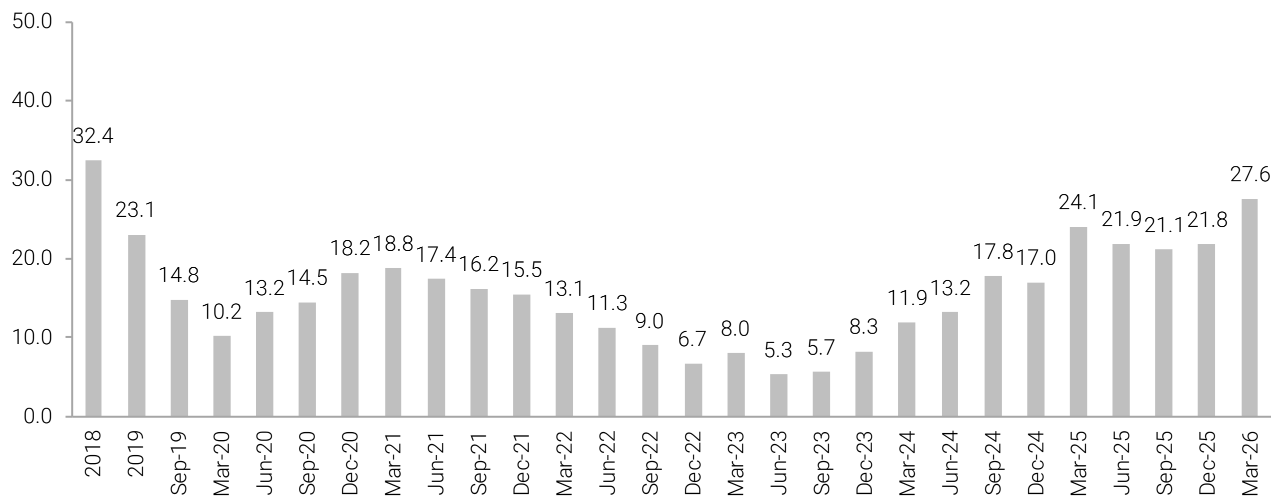
Exhibit 3: Trends in Receivables and receivable days, March fiscal year-ends, 2019-26 (Rs bn)



Source: Company, Kotak Institutional Equities

Zee's cash balance improved to Rs27.6 bn as of Mar 2026

Exhibit 4: Zee's net cash and treasury investments, March fiscal year-ends, 2018-26 (Rs bn)



Source: Company, Kotak Institutional Equities

Zee5's topline grew by 71% yoy in 4Q

Exhibit 5: ZEE5's key financial and operating metrics as reported by management

	Jun-22	Sep-22	Dec-22	Mar-23	Jun-23	Sep-23	Dec-23	Mar-24	Jun-24	Sept-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26
Global MAUs (mn)	103.3	112.4	119.5	113.8	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Global DAUs (mn)	11.3	11.4	11.5	11.1	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Revenues (Rs mn)	1,597	1,671	1,943	2,200	1,939	2,652	2,232	2,372	2,237	2,363	2,413	2,747	2,900	3,108	4,180	4,700
EBITDA (Rs mn)	(2,352)	(2,769)	(2,820)	(3,109)	(3,421)	(2,539)	(2,440)	(2,652)	(1,777)	(1,588)	(1,362)	(753)	(658)	(312)	564	(84)

Source: Company, Kotak Institutional Equities

We cut FY2027-28 EPS estimates by 16-19%

Exhibit 6: Zee Entertainment: Key changes in estimates, March fiscal year-ends, 2027-28E (Rs mn)

	Revised		Earlier		Change(%)	
	2027E	2028E	2027E	2028E	2027E	2027E
Consolidated						
Ad revenues	32,243	33,533	32,783	34,094	(1.6)	(1.6)
Subscription revenues	43,395	46,175	43,764	46,568	(0.8)	(0.8)
Other operating revenues	8,090	8,375	7,756	8,532	4.3	(1.8)
Total revenues	**83,727**	**88,082**	**84,303**	**89,194**	**(0.7)**	**(1.2)**
Direct costs	46,701	48,163	46,443	48,413	0.6	(0.5)
Employee cost	8,592	9,280	9,407	10,348	(8.7)	(10.3)
SG&A expenses	19,363	20,298	17,413	18,251	11.2	11.2
Total expenditure	74,656	77,741	73,263	77,012	1.9	0.9
EBITDA	**9,071**	**10,341**	**11,041**	**12,182**	**(17.8)**	**(15.1)**
Adj PAT	5,856	6,921	7,247	8,221	(19.2)	(15.8)
Adj EPS (Rs)	**6.1**	**7.2**	**7.5**	**8.6**	**(18.7)**	**(16.2)**
Key assumptions						
Ad revenue growth (%)	-	4.0	2.0	4.0		
Subscription revenue growth (%)	6.4	6.4	6.4	6.4		
Direct costs (% of revenues)	55.8	54.7	55.1	54.3		
Employee cost (% of revenues)	10.3	10.5	11.2	11.6		
EBITDA margin (%)	**10.8**	**11.7**	**13.1**	**13.7**	**-230 bps**	**-200 bps**

Source: Company, Kotak Institutional Equities

We expect Zee5/core business to grow at ~17%/5% CAGR over FY2026-29E

Exhibit 7: Zee Entertainment—segment-wise split of revenues, margin and EPS (Rs mn, %)

	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2026-29E (% CAGR)
Consolidated										
Revenues (Rs mn)	77,299	81,893	80,879	86,372	82,941	80,989	83,727	88,082	92,366	4.5
EBITDA (Rs mn)	17,901	17,221	11,011	9,071	11,962	3,463	9,071	10,341	10,981	46.9
EBITDA margin (%)	**23.2**	**21.0**	**13.6**	**10.5**	**14.4**	**4.3**	**10.8**	**11.7**	**11.9**	
PAT (Rs mn)	11,160	10,927	5,812	4,734	7,697	2,281	5,854	6,919	7,553	49.1
EPS (Rs/share)	**11.6**	**11.4**	**6.1**	**4.9**	**8.0**	**2.4**	**6.1**	**7.2**	**7.9**	49.1
Zee5										
Revenues (Rs mn)	4,191	5,495	7,411	9,195	9,760	14,888	17,866	20,545	23,627	16.6
EBITDA (Rs mn)	(6,727)	(7,533)	(11,050)	(11,052)	(5,480)	(490)	800	1,500	2,500	
EBITDA margin (%)	**(161)**	**(137)**	**(149)**	**(120)**	**(56)**	**(3)**	**4**	**7**	**11**	
PAT (Rs mn)	(4,837)	(5,382)	(8,251)	(8,179)	(4,352)	(696)	400	932	1,701	
EPS (Rs/share)	**(5.0)**	**(5.6)**	**(8.6)**	**(8.5)**	**(4.5)**	**(0.7)**	**0.4**	**1.0**	**1.8**	
Core business										
Revenues (Rs mn)	73,108	76,398	73,468	77,177	73,181	66,101	65,862	67,537	68,739	1.3
EBITDA (Rs mn)	24,628	24,754	22,061	20,123	17,442	3,953	8,271	8,841	8,481	29.0
EBITDA margin (%)	**33.7**	**32.4**	**30.0**	**26.1**	**23.8**	**6.0**	**12.6**	**13.1**	**12.3**	
PAT (Rs mn)	15,997	16,309	14,063	12,913	12,049	2,977	5,454	5,988	5,852	25.3
EPS (Rs/share)	**16.7**	**17.0**	**14.6**	**13.4**	**12.5**	**3.1**	**5.7**	**6.2**	**6.1**	

Note: we assume depreciation and finance cost (net) in proportion of revenues of Zee5 and core business.

Source: Kotak Institutional Equities estimates

We expect EBITDA margin to recover to 10.8% in FY2027E

Exhibit 8: Consolidated financial summary of Zee Entertainment, March fiscal year-ends, 2019-29E (Rs mn)

	2019	2020	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E
Profit model (Rs mn)											
Total revenues	**79,339**	**81,299**	**77,299**	**81,893**	**80,879**	**86,372**	**82,941**	**80,989**	**83,727**	**88,082**	**92,366**
EBITDA	**25,639**	**16,346**	**17,901**	**17,221**	**11,011**	**9,071**	**11,962**	**3,463**	**9,071**	**10,341**	**10,981**
Other income	2,515	2,836	1,104	1,213	797	1,293	1,234	1,461	1,328	1,559	1,886
Interest	(1,305)	(1,449)	(571)	(451)	(702)	(721)	(327)	(448)	(448)	(448)	(515)
Depreciation	(2,347)	(2,706)	(2,649)	(2,459)	(3,128)	(3,091)	(2,785)	(2,172)	(2,125)	(2,202)	(2,254)
Pretax profits	**24,501**	**15,028**	**15,786**	**15,524**	**7,979**	**6,553**	**10,084**	**2,304**	**7,826**	**9,250**	**10,098**
Extraordinary items	(218)	(2,843)	(1,266)	(1,333)	(5,391)	(3,362)	(1,065)	(94)	—	—	—
Taxes	(8,673)	(4,317)	(4,625)	(4,597)	(2,167)	(1,818)	(2,387)	(23)	(1,972)	(2,331)	(2,545)
Minority interest	23	(5)	69	88	(1)	4	4	2	2	2	2
RPS dividends (incl tax)	—	—	—	—	—	—	—	—	—	—	—
PAT	**15,670**	**5,266**	**8,001**	**9,645**	**478**	**1,414**	**6,795**	**2,713**	**5,856**	**6,921**	**7,555**
Adj PAT (pre-exceptional; excl RPS impact)	**15,852**	**10,706**	**11,229**	**11,015**	**5,811**	**4,738**	**7,701**	**2,283**	**5,856**	**6,921**	**7,555**
EPS (Rs)	**16.3**	**5.5**	**8.3**	**10.0**	**0.5**	**1.5**	**7.1**	**2.8**	**6.1**	**7.2**	**7.9**
Adj EPS (Rs) - (excl RPS impact)	**16.5**	**11.1**	**11.7**	**11.5**	**6.0**	**4.9**	**8.0**	**2.4**	**6.1**	**7.2**	**7.9**
Balance sheet (Rs mn)											
Total Equity	89,239	93,439	100,945	108,627	107,219	108,729	115,334	117,299	121,233	125,994	131,148
Preference capital	—	—	—	—	—	—	—	—	—	—	—
Minority interest	143	110	129	—	—	—	—	(18)	(18)	(18)	(18)
Total borrowings	11,133	5,950	3,833	—	—	—	1,601	1,777	1,777	1,777	1,777
Currrent liabilities	28,814	24,238	23,281	23,768	29,852	25,751	20,406	23,097	22,476	23,645	24,795
Total capital	**100,515**	**99,499**	**104,908**	**108,627**	**107,219**	**108,729**	**116,935**	**119,058**	**122,992**	**127,753**	**132,907**
Cash and cash eq	23,798	10,115	18,409	12,810	8,040	11,932	24,064	27,238	28,205	31,508	23,412
Inventories	38,505	53,475	54,030	63,862	73,079	69,129	67,748	65,123	66,623	68,123	69,123
Receivables	18,274	20,847	19,452	17,375	16,088	17,016	15,325	17,243	17,826	18,753	19,665
Loans and advances	24,744	17,056	15,027	17,700	15,798	14,024	12,335	13,396	13,635	13,885	14,674
Other current assets	7,982	7,789	4,972	3,872	5,698	5,310	3,351	5,118	5,518	5,918	6,318
Net fixed assets	14,155	13,183	12,147	12,039	13,288	11,647	9,580	8,644	8,269	7,818	6,814
Non-current investments	1,872	1,274	836	1,492	849	880	837	887	887	887	887
Deferred tax assets	—	—	3,151	3,080	4,229	4,542	4,101	4,506	4,506	4,506	4,506
Total assets	**100,516**	**99,500**	**104,907**	**108,628**	**107,219**	**108,729**	**116,935**	**119,058**	**122,993**	**127,753**	**132,907**
Free cash flow (Rs mn)											
Operating cash flow, excl. W-cap, ex-taxes	27,802	22,371	19,679	17,318	7,905	6,127	11,855	4,015	9,073	10,343	10,983
Working capital	(17,151)	(16,758)	809	(9,638)	(2,722)	3,418	739	5,134	(3,342)	(1,909)	(1,951)
Taxes paid	(9,299)	(3,114)	(5,011)	(4,965)	(3,893)	(2,401)	(734)	(2,068)	(1,972)	(2,331)	(2,545)
Capital expenditure	(2,823)	(1,451)	(1,740)	(2,286)	(2,560)	(1,087)	(880)	(1,551)	(1,750)	(1,750)	(1,250)
Other income (net)	900	1,382	133	(24)	(288)	(251)	381	772	880	1,111	1,371
Free cash flow (prior to RPS dividends)	**(571)**	**2,430**	**13,869**	**405**	**(1,558)**	**5,805**	**11,361**	**6,302**	**2,888**	**5,464**	**6,608**
Key assumptions / metrics											
Ad revenue growth (%)	19.8	(7.1)	(19.9)	17.3	(7.7)	(0.0)	(11.5)	(10.2)	0.0	4.0	3.0
Domestic subscription revenue growth (%)	17.4	33.2	13.7	(1.6)	1.5	11.8	8.5	5.1	7.0	7.0	7.0
Overseas subscription revenue growth (%)	(0.7)	(16.0)	1.2	15.4	11.8	(3.2)	(4.1)	(6.8)	—	—	—
Content cost as % of revenue	36.1	44.4	44.8	44.9	49.8	52.8	50.6	56.0	51.8	50.8	50.0
Effective tax rate (%)	35.4	28.7	29.3	29.6	27.2	27.7	23.7	1.0	25.2	25.2	25.2
EBITDA margin (%)	**32.3**	**20.1**	**23.2**	**21.0**	**13.6**	**10.5**	**14.4**	**4.3**	**10.8**	**11.7**	**11.9**
ROAE	19.0	5.8	8.2	9.2	0.4	1.3	6.1	2.3	4.9	5.6	5.9
ROACE	21.1	13.2	13.7	12.5	7.1	5.4	7.8	1.3	5.3	6.0	6.2

Source: Company, Kotak Institutional Equities estimates

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This report has been updated since it was released in the India Daily of May 20, 2026.

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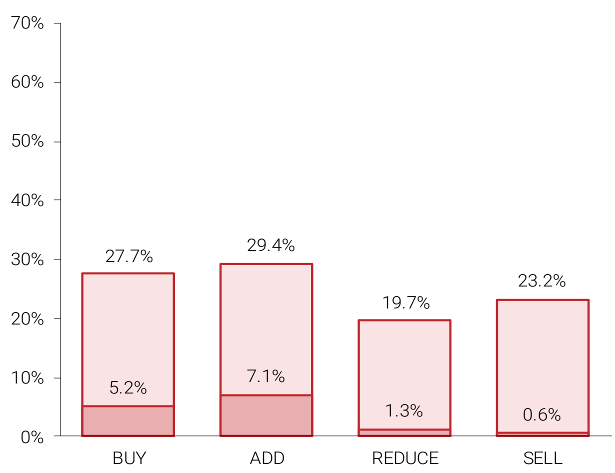

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Source: Kotak Institutional Equities

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